

telling me the ECB had just hiked rates and asking me what I wanted to do.

“How much are we down?” I asked.

“About \$70 million to \$80 million,” he answered.

I said, “If they started hiking, they won’t stop at 25 basis points. I can see this trade turning into a \$250 million loss by week’s end. Dump everything aggressively. Take the price to a place where it trades.”

When I am wrong, the only instinct I have is to get out. If I was thinking one way, and now I can see that it was a real mistake, then I am probably not the only person in shock, so I better be the first one to sell. I don’t care what the price is. In this game, you have an option to keep 20 percent of your P&L this year, but you also want to own the serial option of being able to do that every year. You can’t be blowing up.

What mistakes do you think traders make—not necessarily the traders working with you—that get them into trouble?

I think the two biggest mistakes traders make is that they don’t do enough homework, and they are a bit too casual about risk.



Yes, I know you have heard it a thousand times, but risk control really is critical to trading success. According to Platt, it is “the most important thing.” And Platt is a master of risk control. “I hate losing money more than anything,” he says, and that aversion strongly colors his trading approach.

The principle of minimizing losses permeates Platt’s trading habits. Risk management begins with trade implementation. Platt will express a trading theme, say an expectation that interest rates will decrease, by implementing the trade in a way that minimizes risk relative to the same return potential. Thus Platt will rarely implement directional trade ideas as outright long or short positions. He will be much more likely to use long options or complex spread structures that will provide equivalent return potential, but with theoretically constrained risk. Of course, Platt will strictly limit the maximum loss on any individual position, but he does not stop there. If he feels uncomfortable in a trade after he enters it, he will get right out. Most of the trades that Platt stops himself out of never get to their stop-loss